

I'm scratching my head looking for the plunge. I *think* it's at C. The drop below the board low represents a decline of 3%. That's well short of the median plunge shown in [Table 25.11](#) (14%).

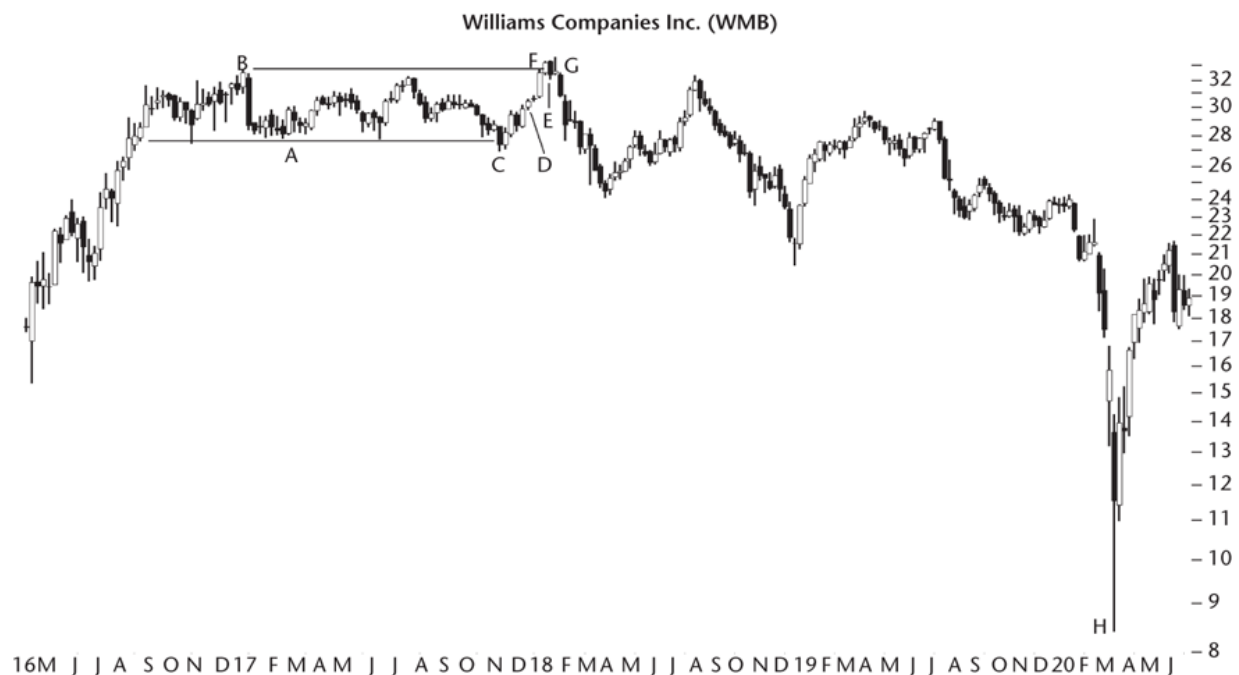


Figure 25.4 Note: weekly scale. A diving board trade resulted in a small profit.

Apparently that didn't bother me because I made no mention of it in my notes. I was focused more on the flat base as a launching pad and a zone of future support in case the trade went bad.

Let's go through the pattern. The board is at A, a flat base with price touching the bottom of the range several times over the months. The top of the board is at B. A close above B means an upward breakout. C is the plunge. A close below C would mean a downward breakout.

On 19 December 2017, I bought and show the approximate date (weekly scale) at D. Notice that I didn't wait for an upward breakout.

Here are my notes to the trade. I bought less than a full position (about 75% of full size), with the position size automatically determined by market and stock volatility. My computer calculated a volatility stop of 28.77 for a potential 4.6% loss, but this was a long-term holding, so I didn't use a stop.